Marketing in a Digital Era

Session 3

Dr. Anshu Suri

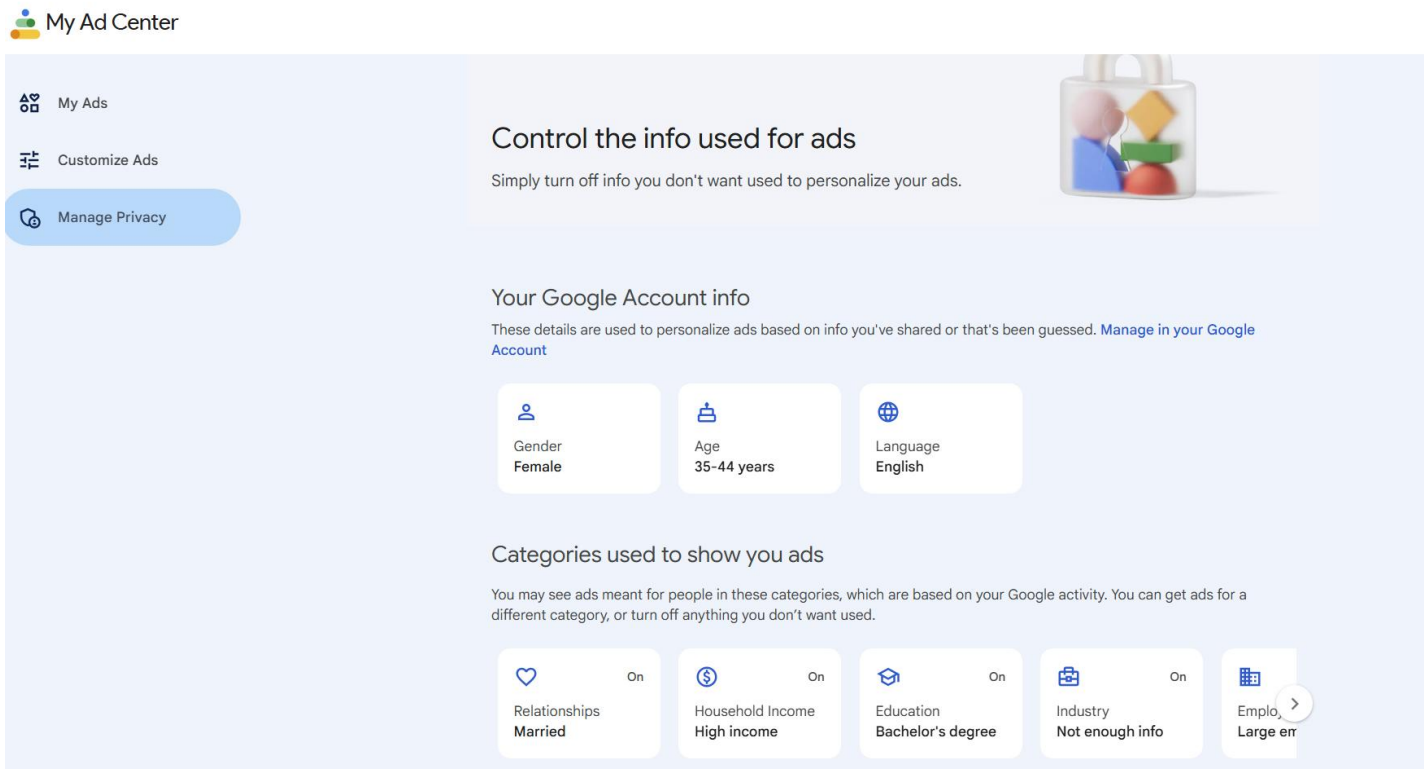
Basic Etiquettes

- No Smartphones
- If you are in class, please give your best attempt to learn/understand
- Don’t be here for attendance only
- Don’t disturb me/other students

SEGMENTATION GONE WRONG



Segmentation & Targeting in Online World



My Ad Center

My Ads

Customize Ads

Manage Privacy

Personalized ads On



Customize the ads you see

Choose topics and brands you want to see more or fewer ads about.

Looks like some features aren't working for you

If you want to customize the ads you see across Google, your services need to be linked in settings. Learn more about linked services

Review settings

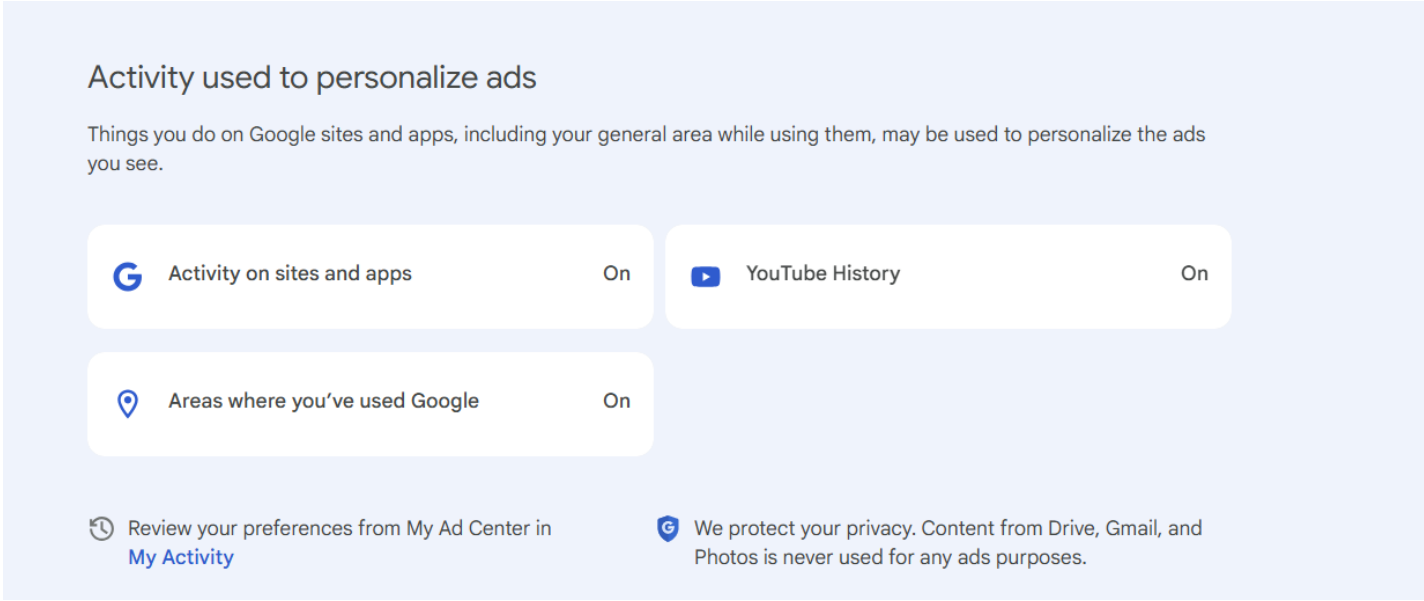
Topics | Brands | Sensitive

Your choices here will affect the ads you see on linked services.

Filter by: Trending

Sort by: Most popular

What kind of Segmentation Variable is this Using?



Product Offering

- Products and Services
- Product Dimensions
- Product Portfolio Management
- Brand Management
- Product Lifecycle





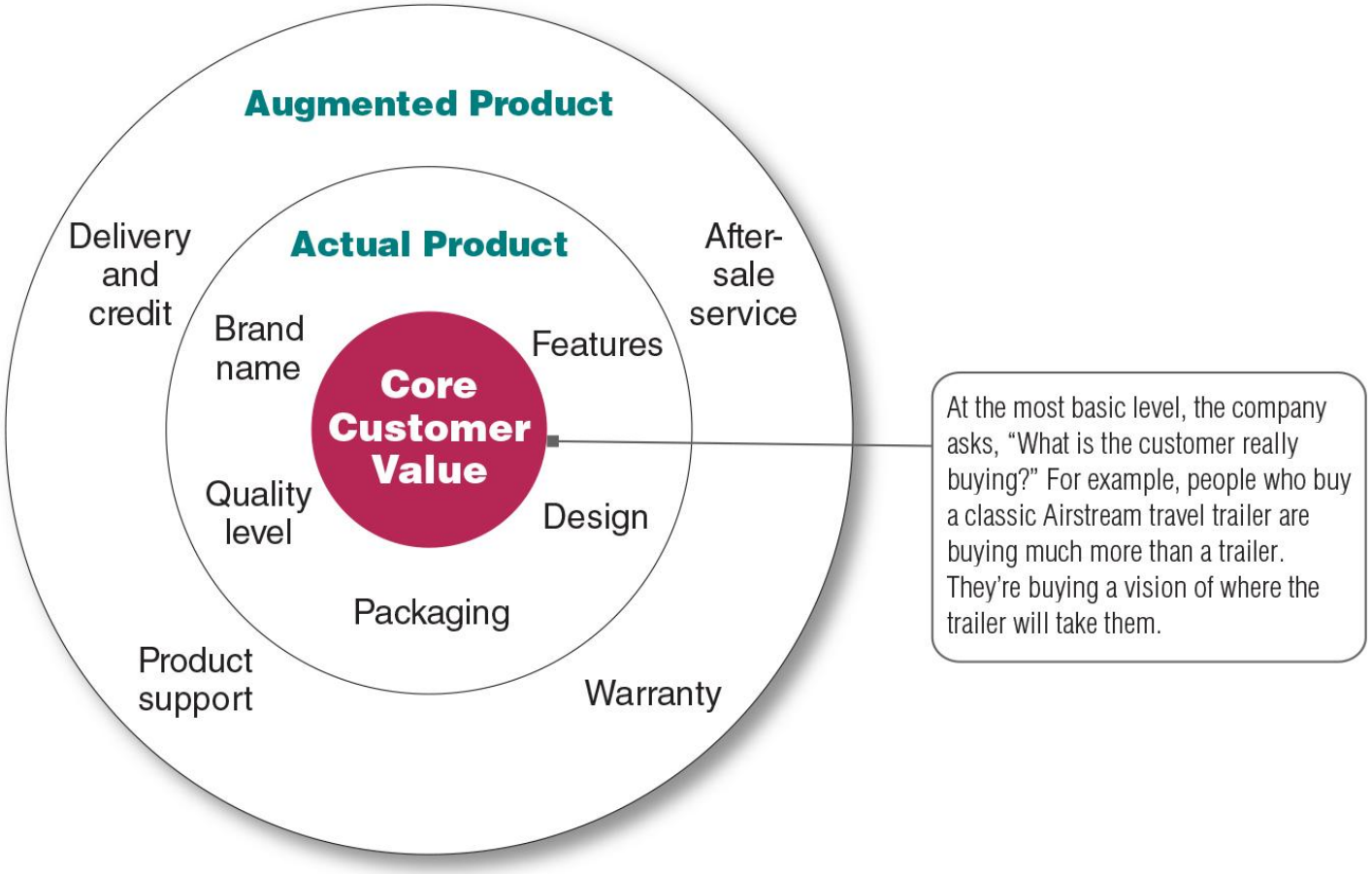
PRODUCT VS. SERVICE : DIFFERENCE



Products vs. Services

- Product: A basket of benefits offered to consumers
- Service: An action or effort offered by one party to another
- Factors that differentiate services from products
  - Intangibility: A service-based product cannot be touched, held, or seen
  - Inseparability: Services are often produced and consumed at the same time, with the customer and service provider interacting in the service delivery process
  - Variability: The potential instability of the quality (who, when, where & how)
  - Perishability: A service-based product cannot be stored

Product Dimensions



Source: Pearson 2023

Product Dimensions

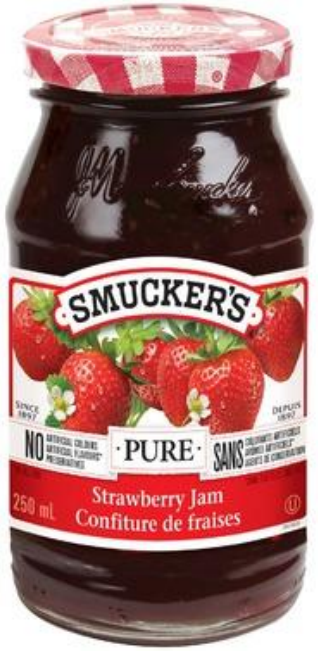
- Benefits/Customer Value: Motives that drive consumers to purchase
- Core Product: what is concretely offered to consumers to provide benefits
  - Set of attributes such as design, packaging, quality & brand
  - Attributes: variables that define a product
  - Attributes ≠ benefits



Activity

- List 5 product attributes of a laptop & the benefits that they offer

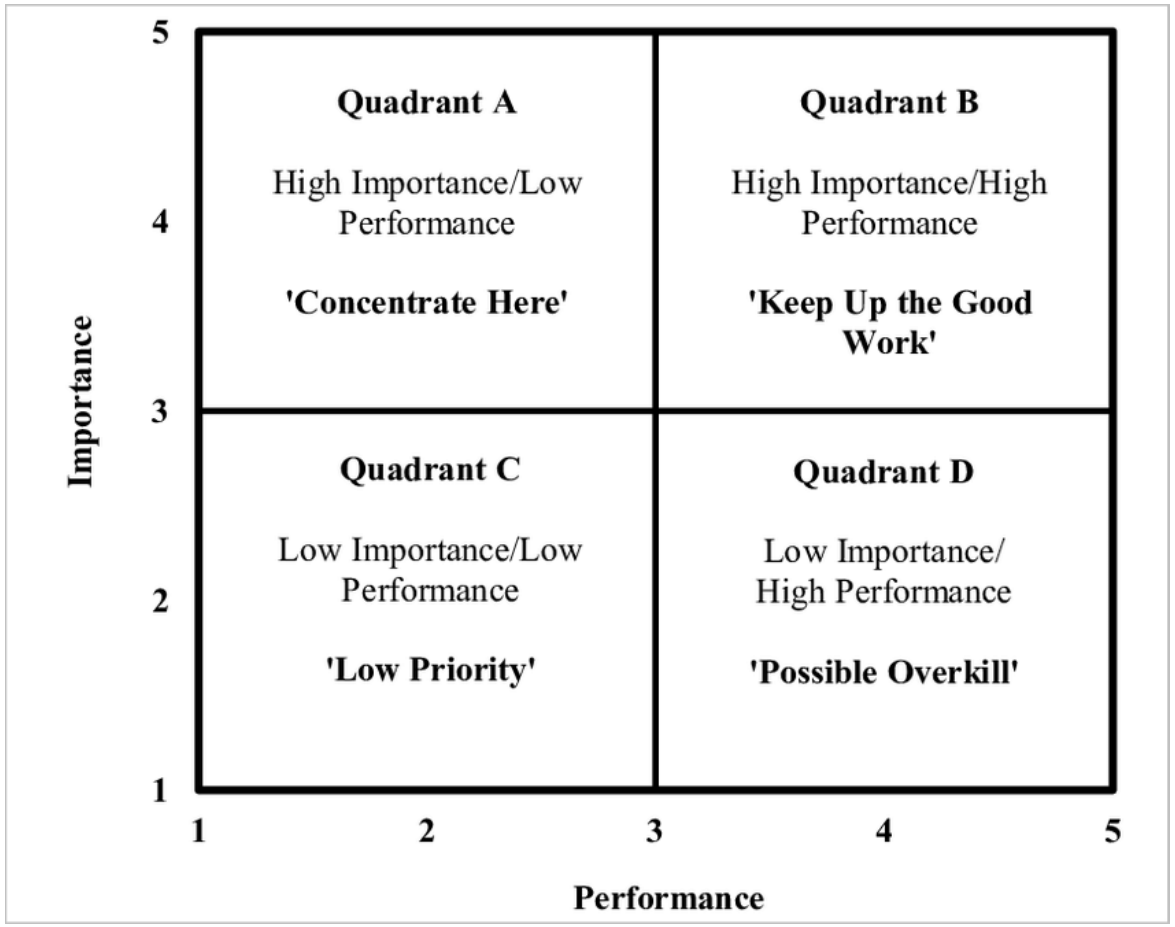






Product Dimensions

- Design : function and form
  - Form makes the functional component concrete; its largely hedonic
- Packaging : Technical and communication functions
- Product Quality: performance, reliability, conformity, durability
- Brand: all material signs that allow a product, business or organization to differentiate its offer from its competitors
- Related Service : warranty, delivery, after-sales service



Importance-performance Analysis Of Product Quality

Activity

- Conduct the “Importance-performance Analysis Of Product Quality” for the BBS program at Kaplan for the following attributes:

- Academic Quality
- Learning Environment
- Student Support Services

Product Portfolio Management

- Product Portfolio
  - All products offered by a brand

- Product ranges
  - A set of products of the same **broad category**, or that meet the same type of need.
  - Made up of product lines

- Product lines
  - A group of products intended for a specific market or that solve a specific problem

- Product range
  - Width : number of product lines
  - Depth : number of models/versions per product line
  - Length : total number of products in the range



Toyota Product Portfolio

- Width of product range : 4 product lines
- Depth of the range: up to 5 vehicles per line
- Length of the range: 19

Activity

- Go to https://www.charleskeith.com/sg

- From your assessment of the website, please note the following:
  - What is the width of the product range?
  - What is the depth of the range of handbags?
  - What is the length of the product range for Charles & Keith?



Product Portfolio Management

- Important tool for product portfolio management : BCG Matrix
- Cannibalization
  - The drop in sales of a current product caused by sales of a new product launched by the same company
- Important question for a brand : Should I “eat” myself ?

Case study : Yoplait (& Danon) vs. Chobani in US Yogurt Market

- Prior to the Greek yogurt trend everything was perfect for Yoplait
- All was well for #1 Yoplait, right? : Wrong!
  - Yoplait didn't develop new, innovative products
- Enters Chobani with Greek yogurt! (higher protein, lower sugar)
- Yoplait's sales were lost to a competitor’s Greek yogurt

Brand Management

- **What is a brand?**
  - A name, a term, a design element, a symbol, logo or any other feature that identifies a seller's goods or services and distinguishes them from those of other sellers
  - **Why is a brand important?**
    - Differentiation!
    - Can charge higher prices, more distribution power, reduced vulnerability from competitors
  - **Private labels**
    - A brand developed by and marketed for a retailer and distributed in that retailer's stores exclusively

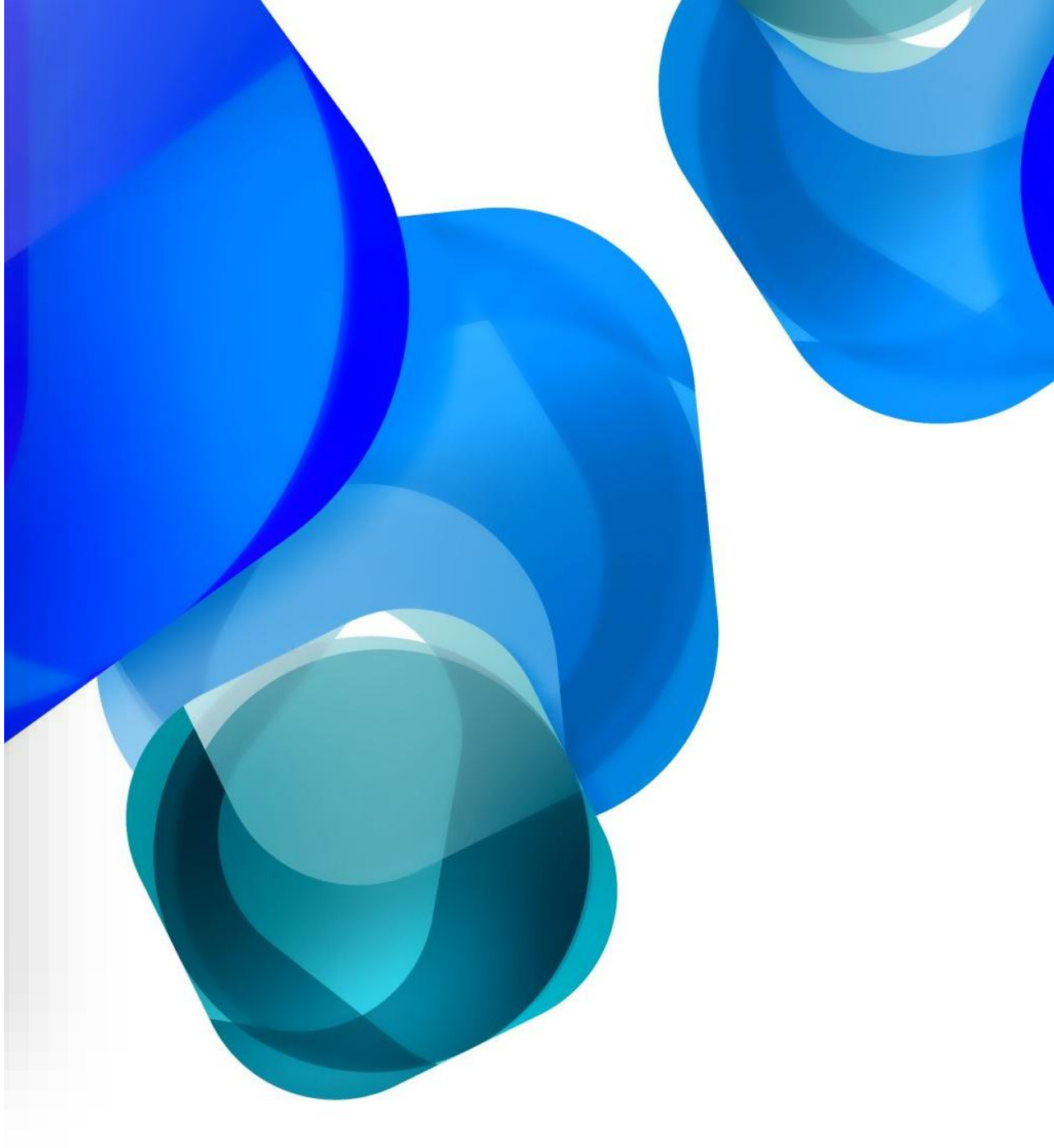






Brand Equity

- Brand equity
  - The added value that a brand gives a product
  - Brand loyalty, brand awareness, brand associations, perceived quality
- Customer-based approach
- Price differential approach
- Income-based approach



Hailey Bieber sells makeup brand Rhode to Elf Beauty in $1 billion deal

By **Anuja Bharat Mistry** and **Neil J Kanatt**

May 29, 2025 5:10 AM GMT+8 · Updated May 29, 2025



Strategic Brand Decisions

- Umbrella brand: a brand whose name and signs appear on all products marketed by a particular company
- Pros & Cons?

- House of brands: each brand in the portfolio is treated independently





In 2008 Clorox launched a green cleaning brand called Green Works (you will never see a Clorox logo on Green Works). Which branding strategy is it following?

A. Umbrella brand

B. House of brands

C. Both

Brand Management: Brand Extension & Launches

	Existing product category	New product category
Existing brand name	Line extension	Brand extension
New brand name	Multibrand approach	New brand creation

Line extensions



Multibrand approach



Brand extensions



New brand creation



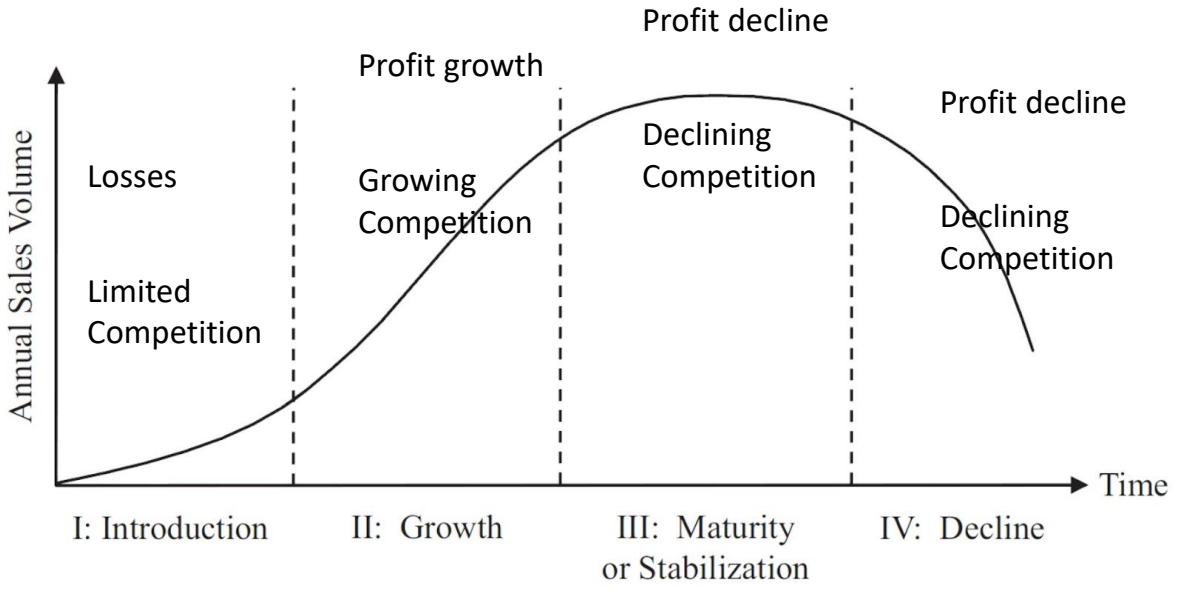
Brand Alliances

- Cobranding: Two or more brands strategically cooperate with each other to market a new product, line or range





Product Life Cycle



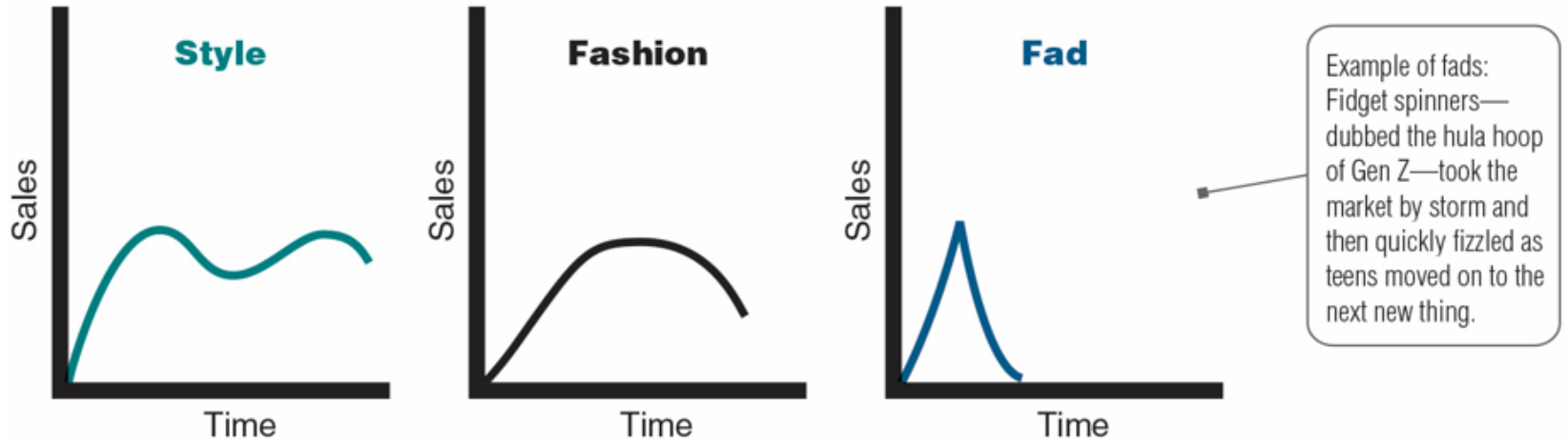
- Product management conditions change over time
  - Introduction
  - Growth
  - Maturity
  - Decline



Introduction Stage

- Slow sales growth
- Little or no profit
- High distribution and promotion expenses

Important: Style, Fashion or Fad?



Pearson

Copyright © 2024 Pearson Education Ltd. All Rights Reserved.

Growth Stage

- Sales increase
- New competitors enter the market
- Profits increase
- Economies of scale
- Consumer education
- Lowering prices to attract more buyers

Maturity Stage

- Slowdown in sales
- Many suppliers
- Substitute products
- Overcapacity leads to competition
- Increased promotion and R&D to support sales and profits

Maturity Stage

- Slowdown in sales
- Many suppliers
- Substitute products
- Overcapacity leads to competition
- Increased promotion and R&D to support sales and profits

Modification Strategies

- Modify the market
- Modify the product
- Modify the marketing mix

Decline Stage

- Maintain the product
- Harvest the product
- Drop the product

Product Life-Cycle Strategies

Product development

- Zero sales and increasing investment costs

Introduction

- Slow sales and nonexistent profits

Growth

- Rapid market acceptance and increasing profits

Maturity

- Slow sales growth and profits level off or decline

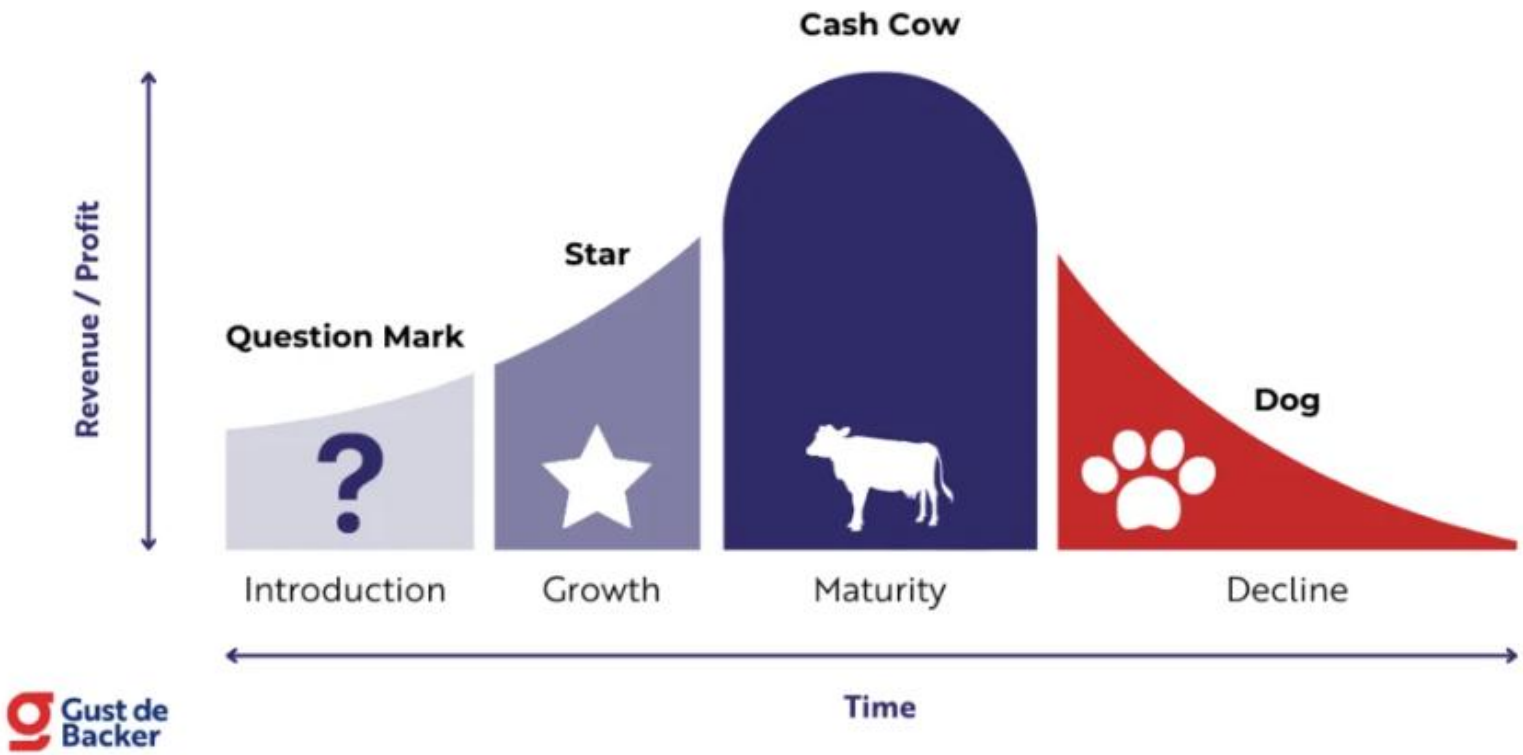
Decline

- Sales fall off and profits drop

Product Life Cycle Management

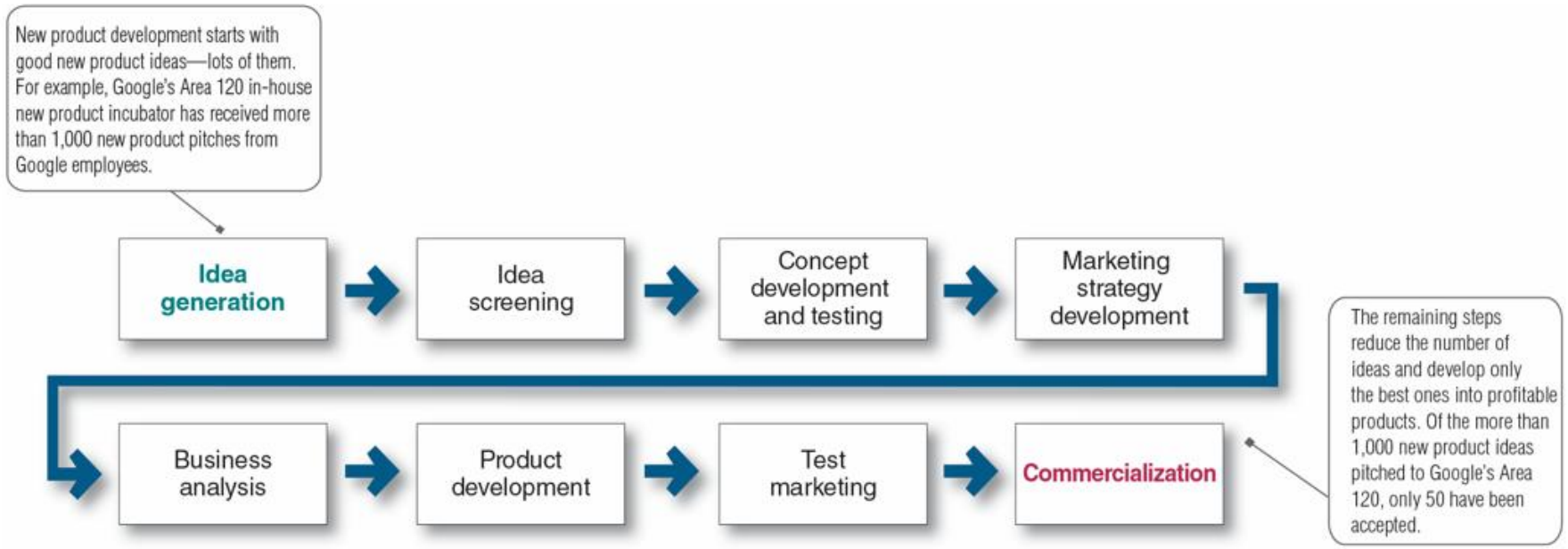
Marketing mix elements	Introduction	Growth	Maturity	Decline
Product	Product launch	Defend the territory Expand the range and deepen the lines	Optimise the portfolio by adjusting the range and lines	Contract the range and lines
Price	Market share or medium-term profits	Increase market share	Maintain or increase market share	Liquidate inventory
Communication	Draw attention and awareness	Convert	Engage	Reduce budgets
Distribution	Build the network	Expand the network	Stimulate the network	Reduce the network

BCG Positions through Product Lifecycle



BCG Positions through Product Lifecycle

New Product Development



Pearson

Copyright © 2024 Pearson Education Ltd. All Rights Reserved.

Idea Generation

Idea generation is the systematic search for new product ideas

Sources of new product ideas

- Internal: company's own formal research and development, management and staff, and intrapreneurial programs
- External: sources outside the company such as customers, competitors, distributors, suppliers, and outside design firms

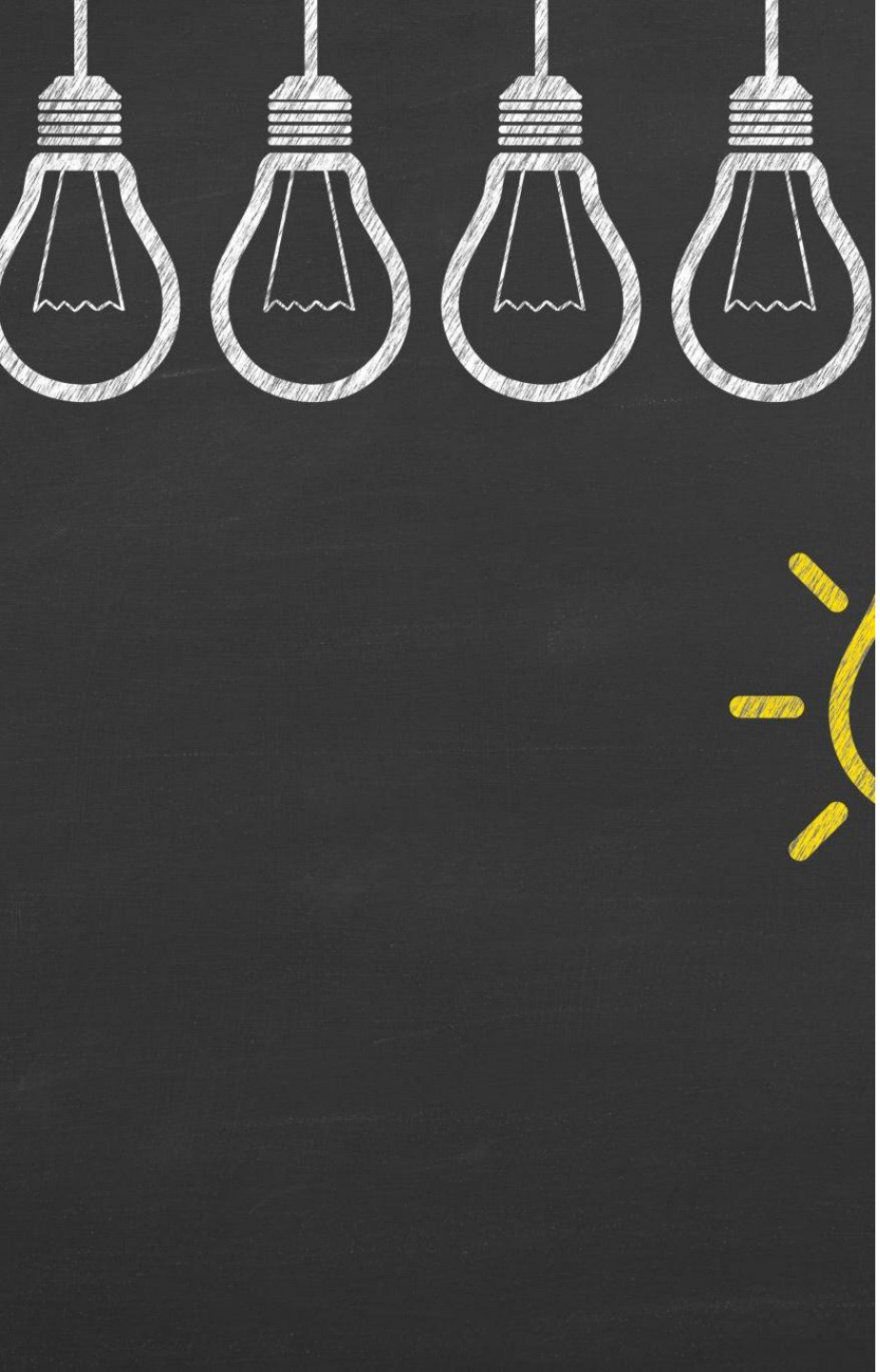


Idea Generation

- **Crowdsourcing** involves inviting broad communities of people—customers, employees, independent scientists and researchers, and even the public at large—into the new product innovation process

Innovation

- The Process of Innovation
- The Role of Research
- Creating Value
- Innovation and Marketing Mix



Innovation & Creativity

- Innovation: The successful implementation of new and creative ideas within an organization
  - prompts action and uses new and appropriate solutions that must be applied at certain steps of the process.
  - the utilitarian outcome of creativity driven by a rejection of the *status quo*

- Creativity: The production of novel, useful, and appropriate ideas in any realm of human activity
  - The valid ideas are related to the objectives set by an individual or a small group of individuals working together

Why is creativity important?



Allows differentiation



Allows foreseeing and meeting customer needs

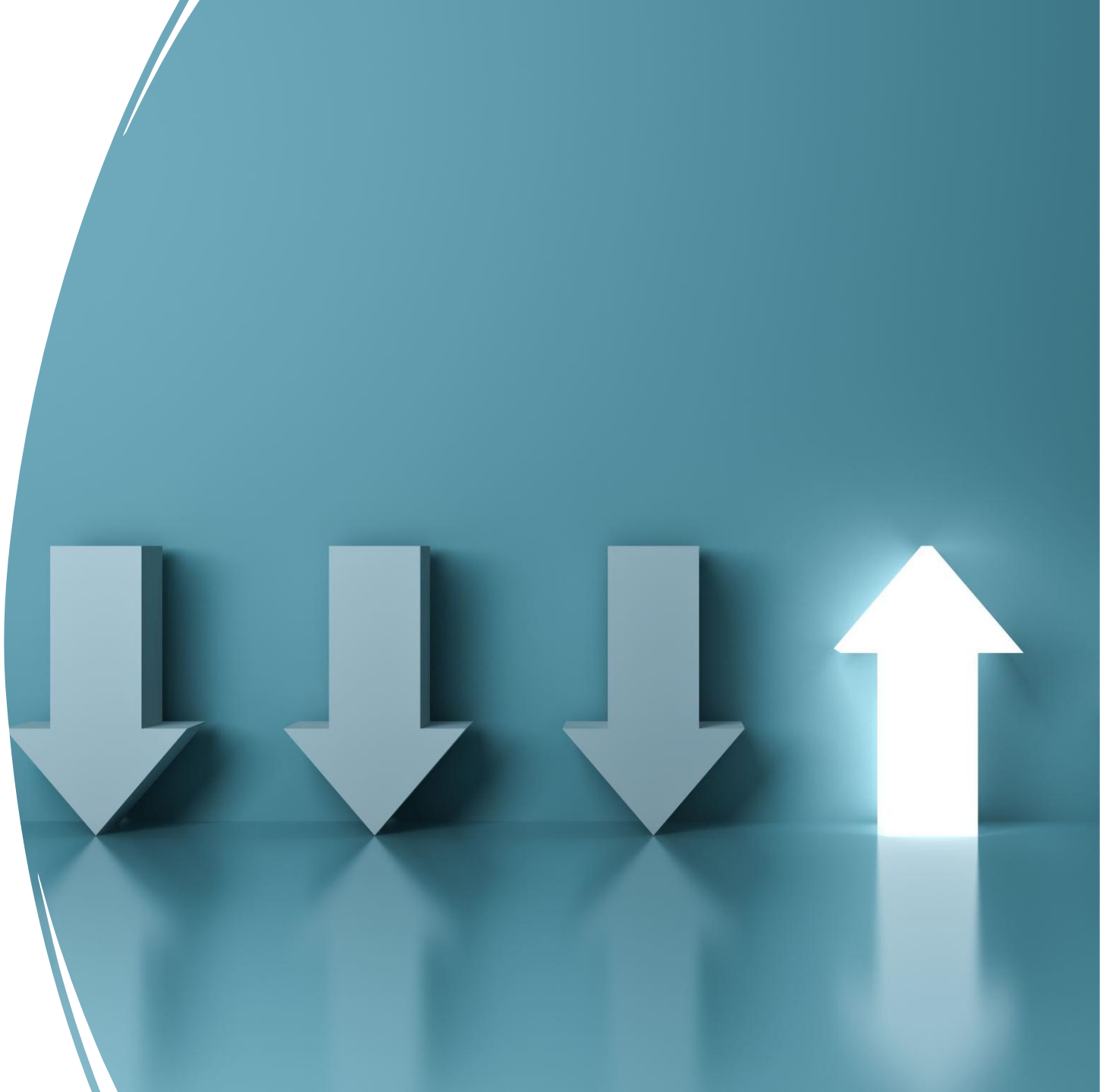


Ends up in finding appropriate solutions

Innovation can be achieved only by launching new products : True or False

A. True

B. False



The Role of Research in Innovation



Trends



Needs



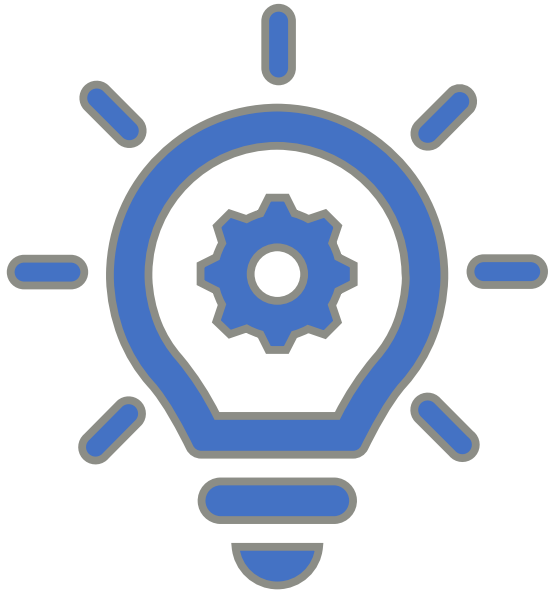
Expectations



Values

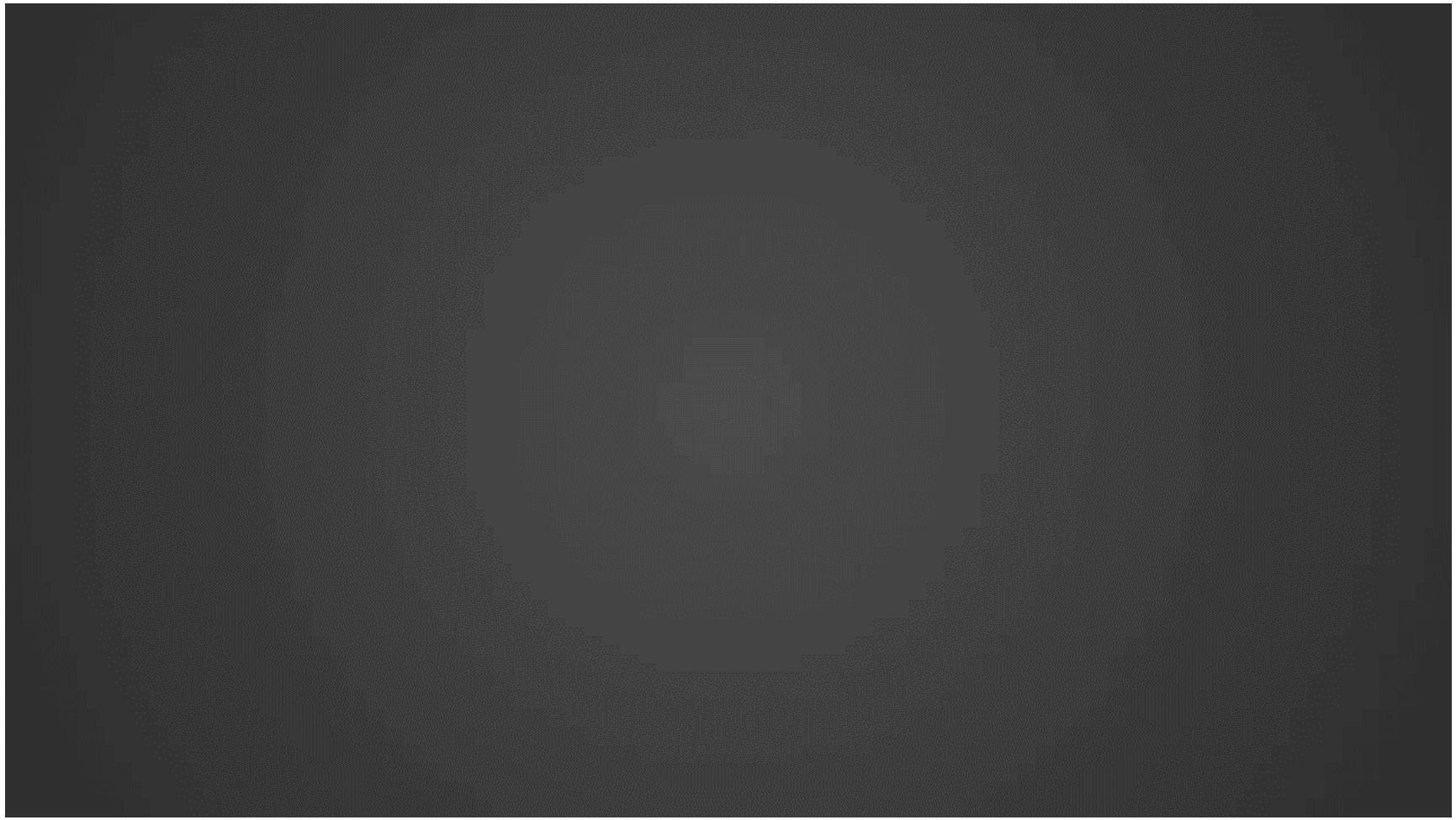


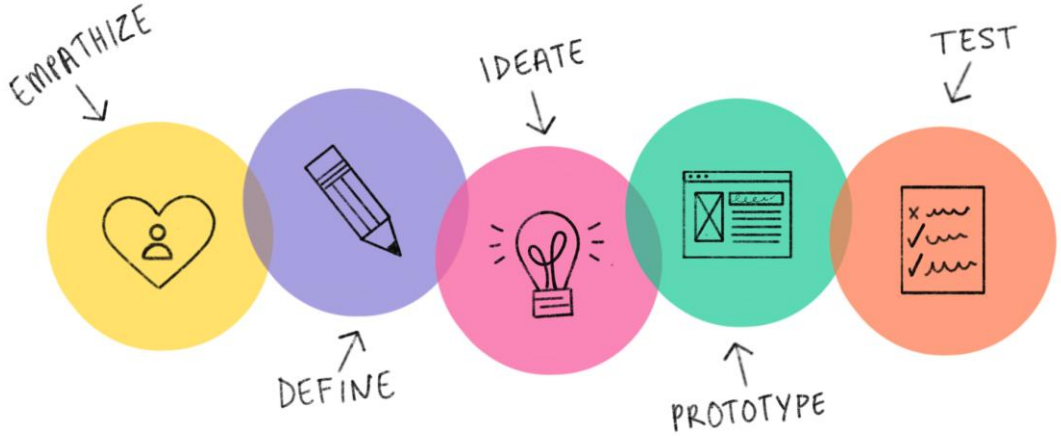
Capacities



Design Thinking

Innovation is based on deep understanding gained from direct observation, of what people want in life, and what they like or dislike in the way products are produced, marketed, sold & supported





5 STEPS OF DESIGN THINKING

5 Steps of Design Thinking



Empathy

Understand for whom an innovation is developed

Implies observing, engaging and empathising to better understand individuals' experiences & motivations



Definition

Analyze & synthesize the observations to define the core problem identified



Idea generation

Generate a large number of ideas

Brainstorming, "Worst Possible Idea", SCAMPER



Prototype

Transformation of your ideas into a concrete form; prototypes may be tested internally



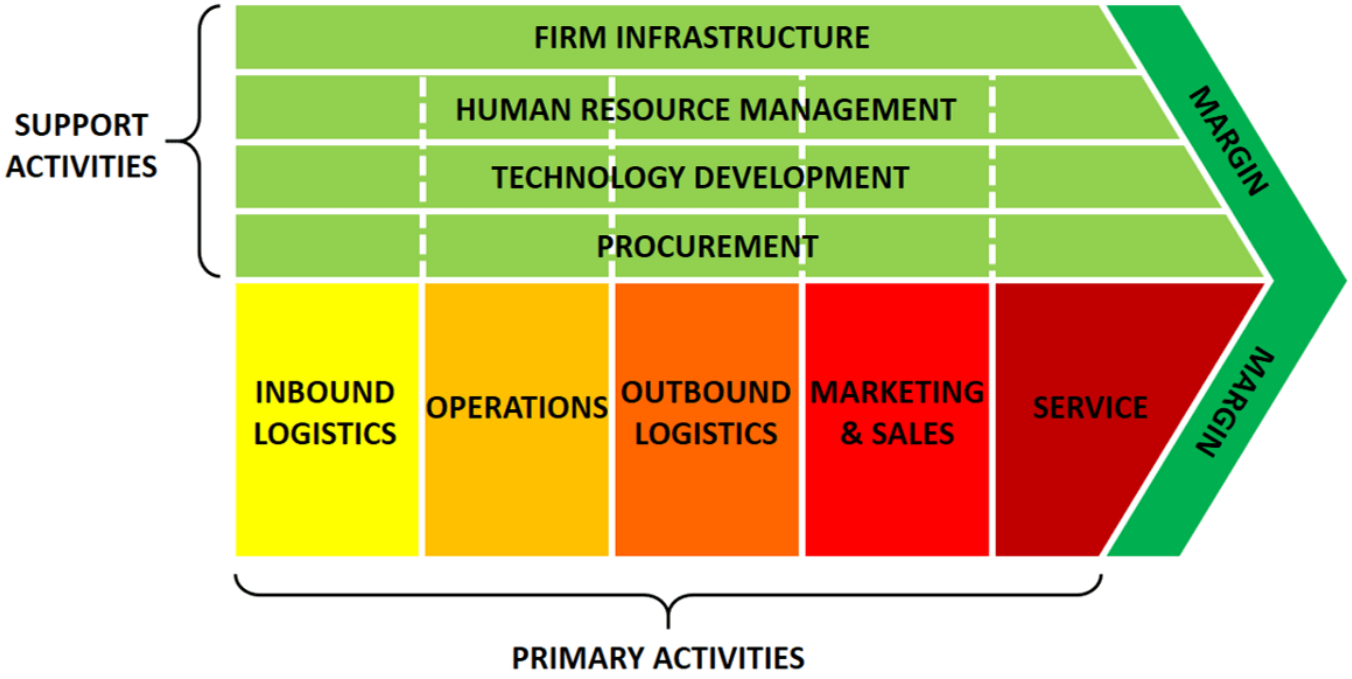
Test

Testing of prototype

In some cases, this could also mean test marketing with smaller groups of consumers

Example: SCAMPER

Letter	Trigger	Prompt	Example (Sephora Returns)
S	**Substitute**	What can you substitute to improve this?	Replace phone call with chatbot.
C	**Combine**	Can you combine this with another feature/process?	Merge return process with rewards app.
A	**Adapt**	What could you adapt from elsewhere?	Use Uber-like real-time tracking for returns.
M	**Modify / Magnify / Minimize**	Can you exaggerate, minimize, or modify a feature?	Make return confirmation instant + visual.
P	**Put to another use**	Can you repurpose this in a different context?	Use returned items for in-store trial testers.
E	**Eliminate**	What can you remove to simplify the experience?	Remove paperwork—use QR codes instead.
R	**Reverse / Rearrange**	What happens if you reverse or reorder the process?	Arrange pickup before refund approval.

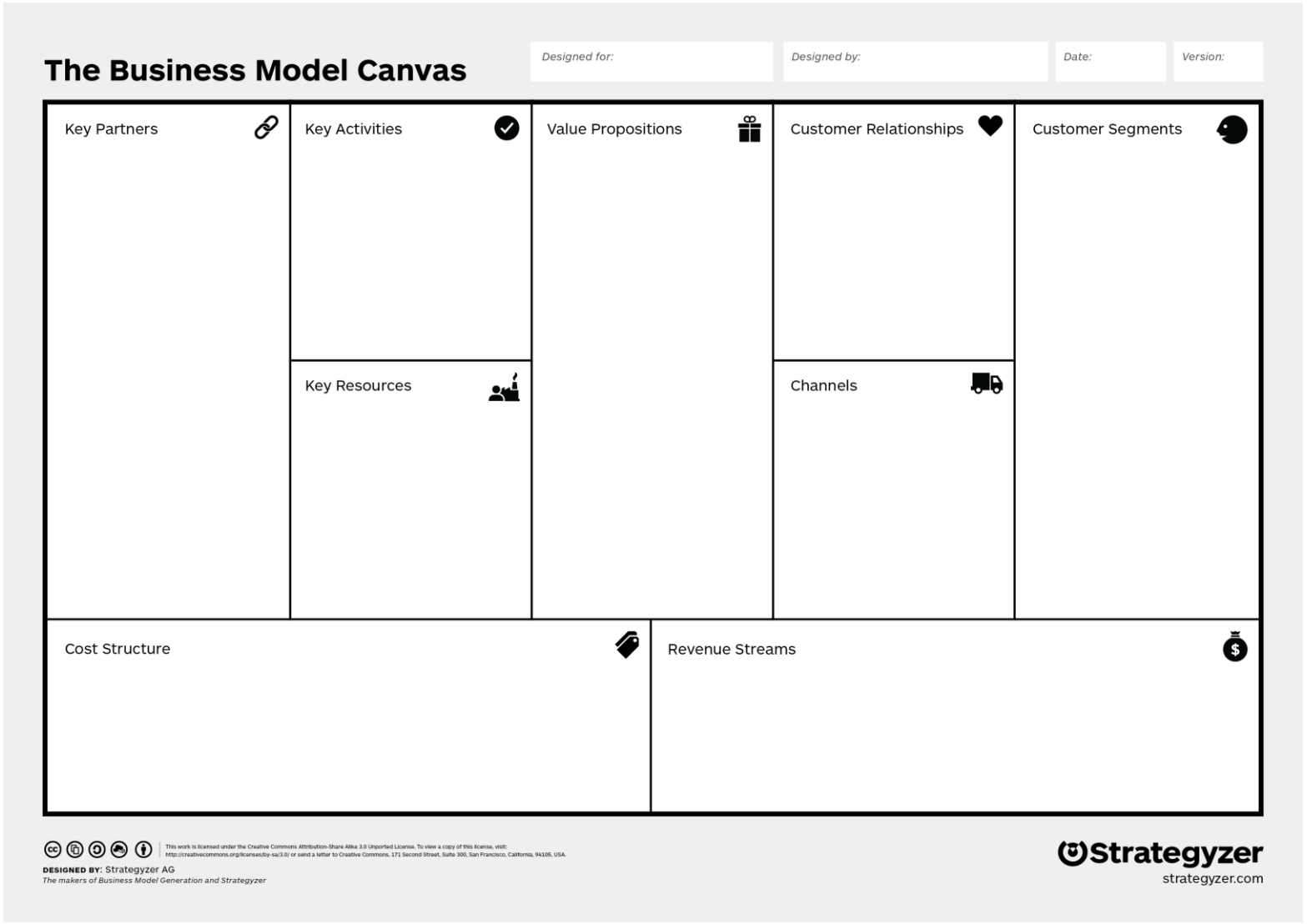


Where can we Innovate?

- Value chain analysis for identifying a company's strengths & weaknesses

- Customer centric approach
  - Process (how?)
  - Workforce (by whom?)
  - Management style





BUSINESS MODEL CANVAS: CREATE, DELIVER & CAPTURE VALUE

Activity: Business Model Canvas for Grab

- **Customer Segments**: Who are Grab's key customers?
- **Value Propositions**: What value does Grab deliver?
- **Channels**: Separate into **communication**) and **distribution**
- **Customer Relationships**: How does Grab keep customers engaged?
- **Revenue Streams**: How does Grab make money?
- **Key Resources**: What assets are crucial?
- **Key Activities**: What must Grab do well?
- **Key Partners**: Who helps Grab?
- **Cost Structure**: What are the main costs?

Innovation & Marketing Mix





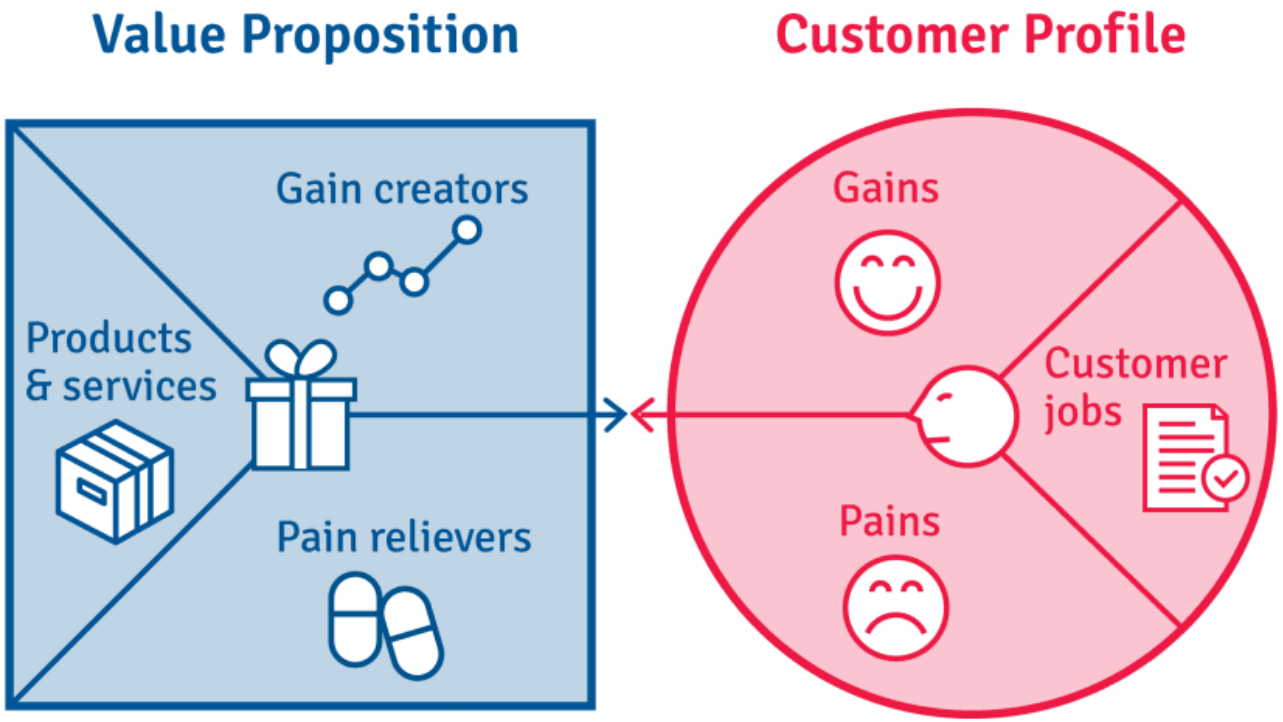
Spotify

Continuous Innovation

New characteristics that do not necessarily call for redefining the product category

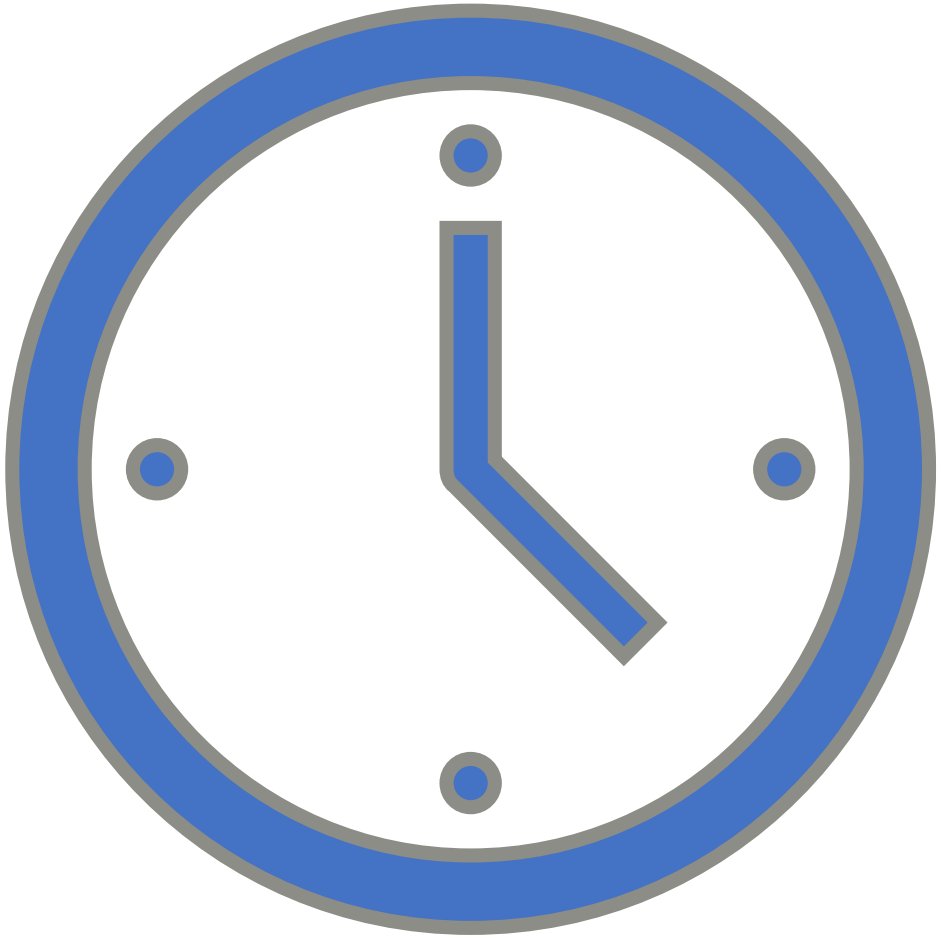
Discontinuous Innovation

Radically new products, ideas or services, which disrupt established habits or create an entirely new product category



Value Proposition Matrix

- Understand customers' behaviors, needs and difficulties
- Propose solutions



ACTIVITY TIME!

VALUE PROPOSITION MATRIX

Using value proposition matrix, analyze how Instagram created value for consumers

Activity

- Post images → social job → gain creator

- Filter → emotional job of helping us feel better → pain reliever

- Reposting → social job → pain reliever

New Product Development Process

Product idea: idea for a possible product that the company can see itself offering to the market

Product concept: detailed version of the idea stated in meaningful consumer terms

Concept testing: testing new product concepts with groups of target consumers

Marketing Strategy for New Product Development

Marketing strategy statement consists of:

- Target market description
- Value proposition planned
- Sales, market-share, and marketing mix

- **Business analysis:** review of the sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives

New Product Development Process

- **Product development:** developing the product concept into a physical product to ensure that the product idea can be turned into a workable market offering

- **Test marketing:** the product and its proposed marketing program are tested in realistic market settings

Test Marketing

- When test marketing is likely
  - New product with large investment
  - Uncertainty about product or marketing program
- When test marketing is unlikely
  - Simple line extension
  - Copy of competitor product
  - Low costs
  - Management confidence

Instagram Will Stop Counting Likes for Canadians

A select group of users in Canada will test a feature that hinders them from seeing the total “like” count for posts on their feed.

By Sintia Radu | May 7, 2019, at 4:07 p.m.

Save

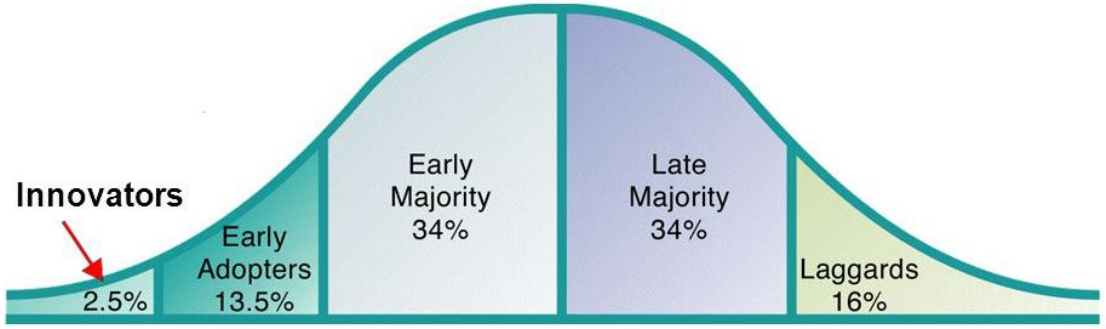


Commercialization

Introducing a new product into the market

- When to launch?
- Where to launch?
- Planned market rollout?

DIFFUSION OF INNOVATION



Characteristics of Segments of Adopters

- Innovators (technology enthusiasts)
  - Appreciate innovation for its sake
  - Motivated by status of agents of change in their social circles
  - Seek out communities of innovators
  - Accept & tolerate imperfections of innovations
- Early Adopters (visionaries)
  - Adopt & use innovations to make major improvements (revolutions)
  - Attracted by major risks & rewards of innovations
  - Price insensitive
  - Motivation: to be opinion leaders

Characteristics of Segments of Adopters (Cont..)



Early majority

Motivated by change & improvement

Want proven, tested solutions

Want to reduce risks



Late majority

Adopt innovations to keep up to date

Do not want to take risks

Price sensitive

Seek solutions that are ready to use, very certain



Laggards

Want to preserve status quo

Don’t think innovations improve productivity

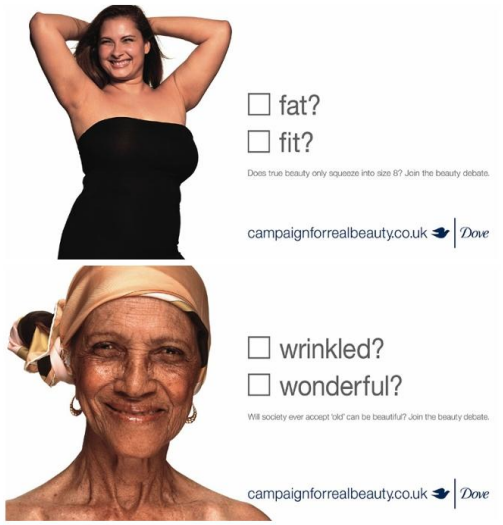
Only purchase and buy into the innovation when all other options are exhausted and all other options are less interesting



Diffusion of Innovation

- Adoption factors
  - Relative advantage
    - Benefits?
  - Compatibility
    - With the usual way of doing things
  - Trialability
    - Free product trials?
  - Observability
    - Product demos, infomercials
  - Perceived complexity

INNOVATION IN : MARKETING COMMUNICATION

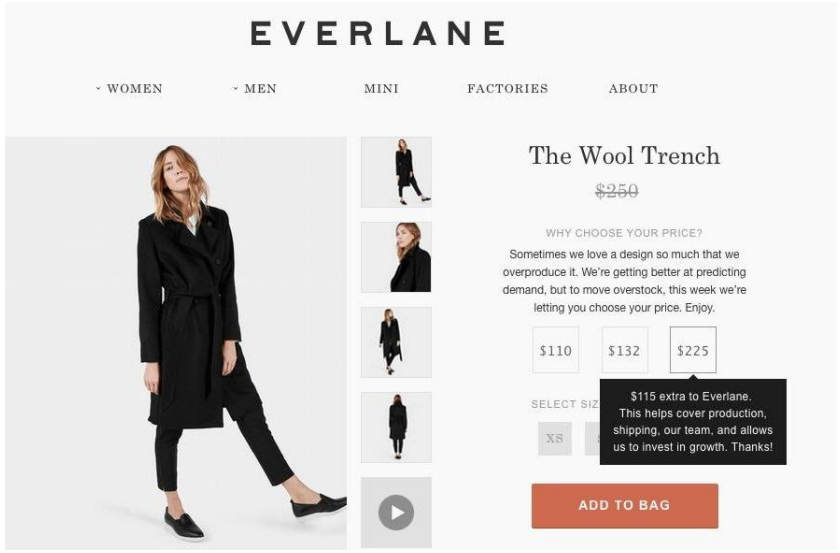






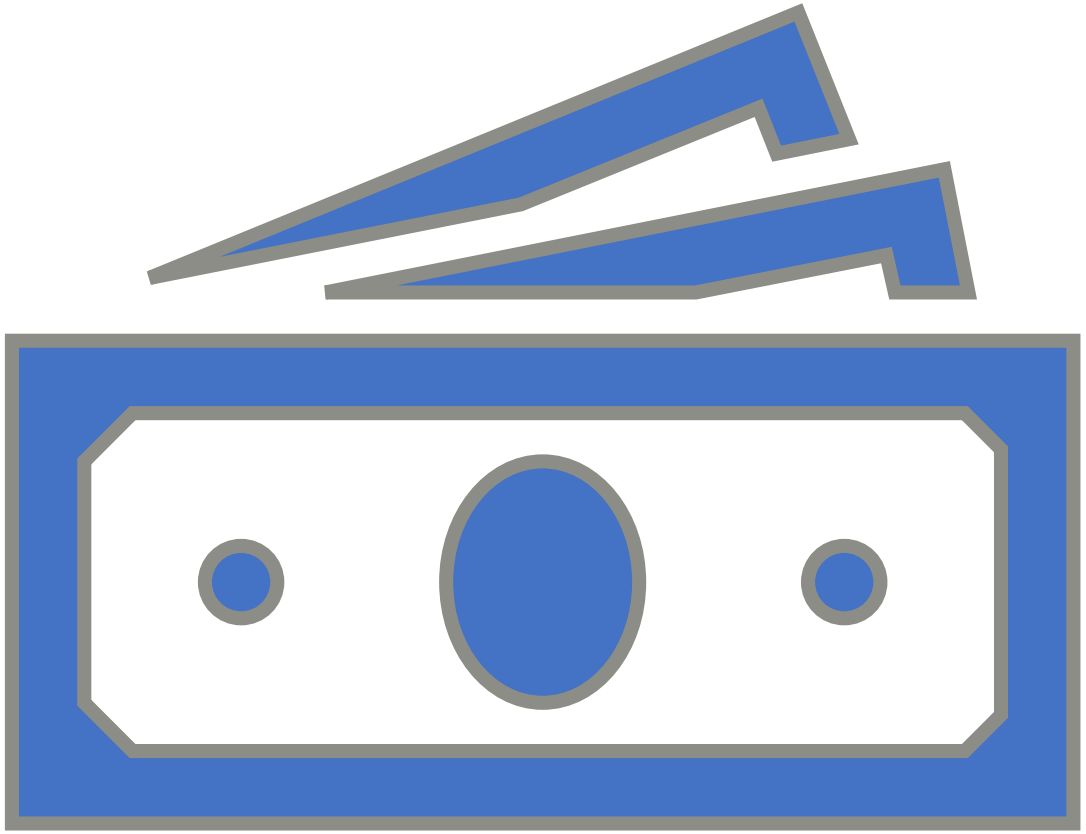


INNOVATION IN : DISTRIBUTION





INNOVATION IN PRICING

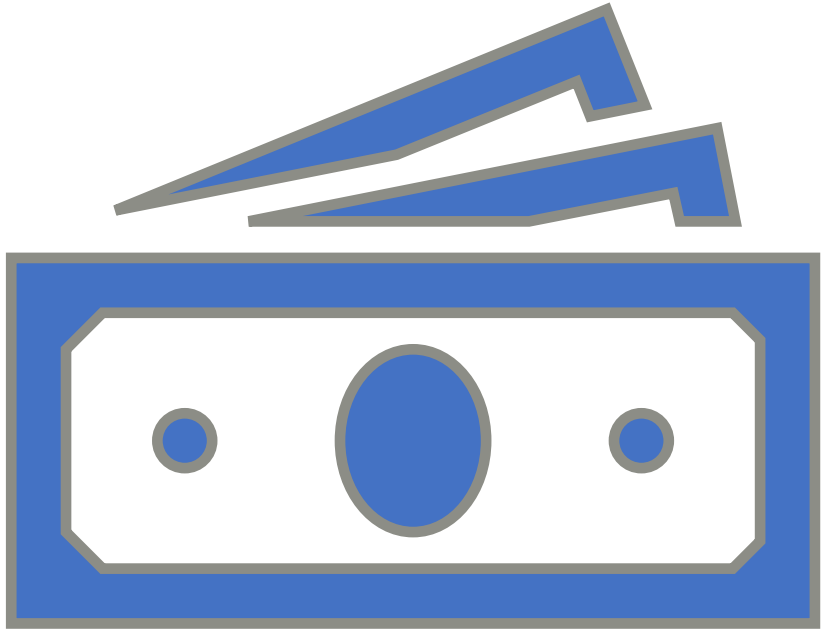


PRICING

Price

- Seller's perspective : the amount of money the buyer pays in exchange for a product or service

- **Buyer's perspective: The amount spent plus the time and psychological cost incurred to obtain a product/service**



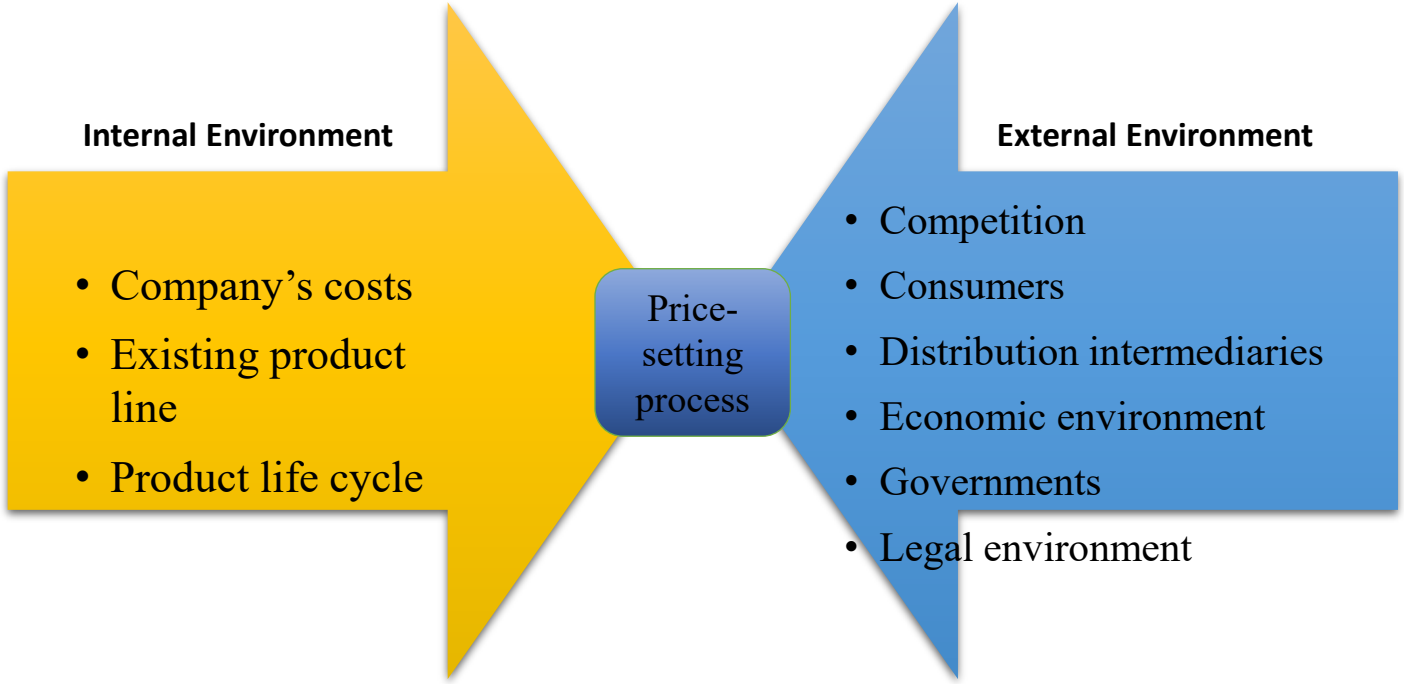
Price Matters Because…





- It is linked to the organization's marketing strategy, especially in terms of
  - Target segments
  - Positioning

Environmental Influences



Pricing Objectives: A Process

Pricing Objectives	What Objectives do we Want to Reach?
Pricing Strategies	How can we attain these objectives?
Pricing Methods	How can we determine the right price according to our strategies?
Applying and controlling	Have we really attained our objectives?

Different Types of Pricing Objectives

- **Profit-oriented Objectives**
  - Profit maximization: reach the highest income possible, relative to costs
  - Satisficing: Some companies target profit that is “acceptable”
  - Reasonable profit: Strategic obligation to act in public interest
  - Objective related to ROI (Return on Investment)

- **Competition-oriented Objectives**
  - Maintaining market share : Common in mature markets
  - Increasing market share : Especially useful when market is growing
  - Erecting or maintaining entry barriers to inhibit new entrants

Different Types of Pricing Objectives

- **Sales-oriented Objectives**
  - Measured using company data
  - Assumes higher sales = higher /stable profit

- **Customer Perception-related Objectives**
  - Price signals product's positioning to consumers

- **Distribution-related Objectives**
  - Sometimes, distribution intermediaries greatly influence pricing
  - Especially true for intermediaries high bargaining power





Pricing Strategies

Pricing strategies and contexts	External influences	Competitive pressure	Price leadership Competitive parity Low-cost pricing
		Consumer preferences	Price signaling
	Internal influences	Company cost	Cost-plus pricing
		Product lines	Complementary product pricing Price bundling Customer value
		Product life cycle	Launch: skimming or penetration Growth: lower prices because of competition Maturity: discounts and reductions Decline: sharp drop in prices or withdraw



Pricing Strategies Based on Competitive Pressure

- **Price leadership**
  - Adjusting a price and expecting the competitors to follow
  - Favored by the market leader

- **Competitive parity strategy**
  - Setting the same price as the market average or the leader
  - Used especially when product is not differentiated enough

- **Low-cost pricing strategy**
  - Systematically offering the lowest price on the market
  - Viable long term only for businesses with a competitive advantage in production costs

Strategies Dictated by Consumer Preferences

- **Prestige or Quality signaling pricing**
  - Setting a price that projects the desired image of the product to consumers
    - Product should offer some real or psychological advantages
  - Frequently used for products that are technically complex or involve higher perceived risk of purchase





BOSE 794297-0100
Noise Cancelling...

CA$479.00

VS.



JBL Live 500BT
Over-Ear Sound...

CA$99.99

Pricing Strategies Based on Business Costs



- **Cost-plus pricing strategy**
  - Setting a price that lets the company achieve a predetermined profit margin
  - Selling price = costs of product + mark-up
  - Cost can be determined according to variable costs or total costs
  - Variable costs: fluctuate directly based on production volume
  - Fixed costs: amount is independent of production volume
  - Total cost = Variable cost + Fixed cost

Fixed or Variable Costs?

1. Rent for Grab’s office headquarters
2. Electricity bill for a Starbucks café
3. Salaries of full-time baristas at Starbucks
4. Cost of coffee beans per cup sold
5. Annual insurance for a delivery fleet
6. Packaging cost per McDelivery order
7. Marketing campaign (fixed contract with ad agency)
8. Uber driver incentives (paid per ride)

Strategies for a Product Line

- Complementary Product Pricing Strategy
  - Selling the central product at a low price, while complementary goods are sold at a higher price
  - 2 options in general
    - Cheap central product + expensive complements (indispensable)
    - Expensive central products + cheap complements



HP 61 Black Original Ink, 2 Cartridges (CZ073FN)

4.5 out of 5 stars ~ 27,417

CDN$50.99



FREE NESPRESSO COFFEE MACHINE

WHEN BUYING CAPSULES

Apple's new iPhone 12, iPhone 12 Pro models will come without charger and headphones



HP DeskJet 2755 Wireless All-in-One Printer, Mobile Print, Scan & Copy, HP Instant Ink Ready, Works with Alexa (3XV17A)

4 out of 5 stars ~ 1,782

CDN$79.99





Strategies for a Product Line

- **Price bundling**
  - Offering a product with a group of items that is sold at a lower price than the sum of all products at their regular cost
  - Great strategy for introducing new products' visibility

Strategies for a Product Line



Bose QuietControl 30 Wireless Headphones

$399.99 TSC

These **headphones** from **Bose** allow you to control how much noise from the outside world filters in. You can set them to be fully ...

Vs.



Bose SoundSport Headphones for Apple Devices 741776-0010, Charcoal

$89.99 SurplusbyDesign

Product Details **Bose** sound sport in-ear **headphones** deliver deep, clear sound for the music you love, with a durable design ...

- **Customer value pricing**
  - Pricing a product very competitively, but offering fewer options than other products in the line
  - More common in slow growth/declining markets
  - Aimed at price sensitive customers
  - Product basically provides “basic essential benefits”

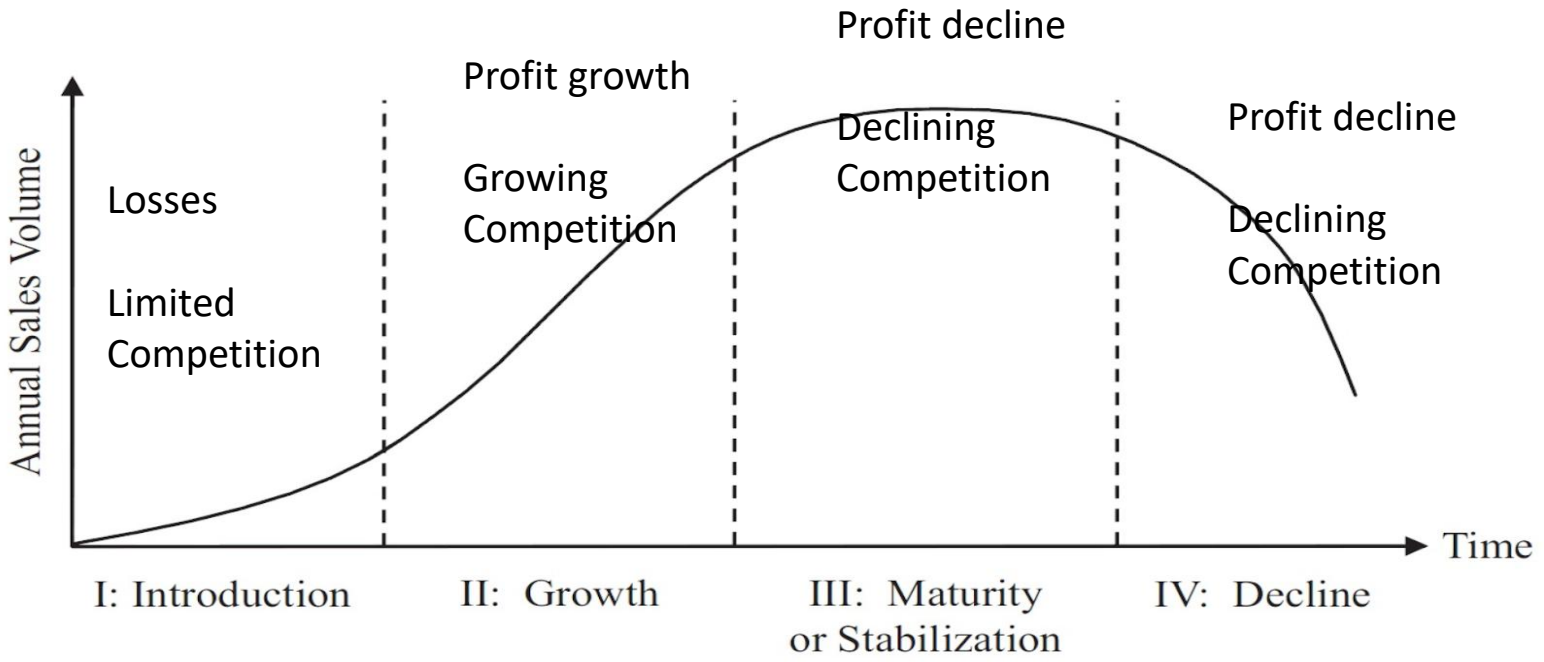
Pricing strategies based on PLC

Launch
- Penetration Pricing OR
- Market Skimming

Growth
- Lower prices as competition increases

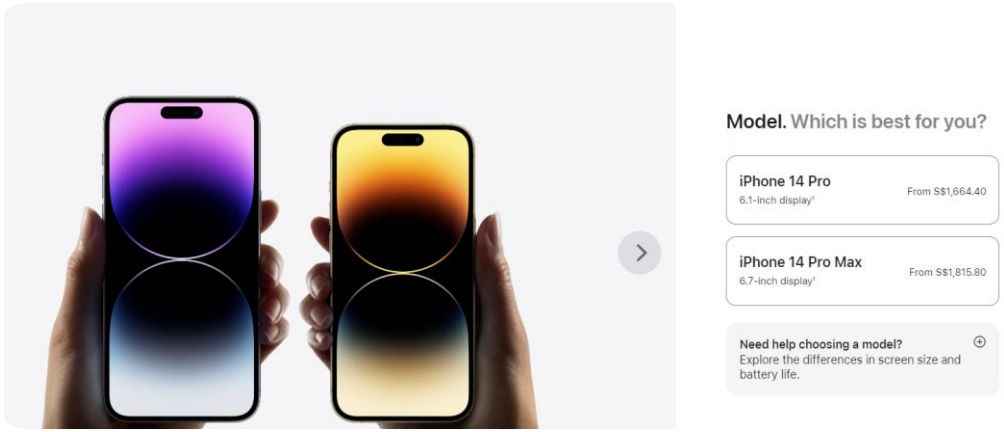
Maturity
- Rebates & reductions

Decline
- Sharp drop of prices (liquidation)



Pricing strategies based on product life cycle

- **Skimming Strategy**
  - Setting a high initial price that is later lowered
  - When competition enters, company lowers price
  - Appropriate when launch cost is high & company wants to maximize profit
  - At this stage in product life cycle, target segment is generally innovators & early adopters, who are price insensitive



Pricing strategies based on product life cycle

- **Penetration strategy**
  - Setting an initial low price to quickly gain large market share
  - Particularly advantageous if company can realize economies of scale quickly, deterring new entrants
  - Generally used when product is similar to competition or can be easily imitated
  - Target market : price sensitive audience



Xiaomi Redmi Note 8 6.3" 64gb 4gb Ram (gsm Only N…

$277.99

	Skimming	Penetration
Definition	High initial price Reduced in phases to gradually capture more market share	Relatively low initial price to minimize competition and make a long-term profit
Objective	Short-term profit maximisation	Long-term profit maximisation
Advantages	Quick recovery of costs Immediate profit	Rapid market penetration Large market share Reduction of competition
Prior conditions	Superior product that is difficult to imitate Existence of a segment relatively insensitive to price	Market sensitive to price Economies of scale possible over the long term

Pricing strategies based on product life cycle

- **Price reduction strategy**
  - Used during maturity stage
  - Price reductions & rebates
  - Promotional pricing: Price reductions be used to liquidate merchandise before new models are launched



Pricing Strategies

Pricing strategies and contexts	External influences	Competitive pressure	Price leadership Competitive parity Low-cost pricing
		Consumer preferences	Price signaling
	Internal influences	Company cost	Cost-plus pricing
		Product lines	Complementary product pricing Price bundling Customer value
		Product life cycle	Launch: skimming or penetration Growth: lower prices because of competition Maturity: discounts and reductions Decline: sharp drop in prices or withdraw

Ideal pricing strategy for this case: As a business, I sell a product that consumers usually buy for gifting purposes. What strategy should I use?

A. Cost-plus pricing
B. Competitive parity strategy
C. Skimming strategy
D. Prestige or Quality signaling pricing



Apple offering the iPhone 16e, its entry-level iPhone model, at US$599 is an example of which pricing strategy?

A. Cost-plus pricing
B. Competitive parity strategy
C. Skimming strategy
D. Prestige or Quality signaling pricing



Samsung Launched its Foldable, flexible screen phone at a whopping $1,380 because it believes no competitor is currently capable of mimicking this advanced technology. What pricing strategy is this?

A. Cost-plus pricing

B. Price-bundling strategy

C. Skimming strategy

D. Prestige or Quality signaling pricing

E. Customer value pricing strategy



Price Anchoring

- Human tendency to rely heavily on a piece of initial information to guide subsequent decisions



Price Anchoring

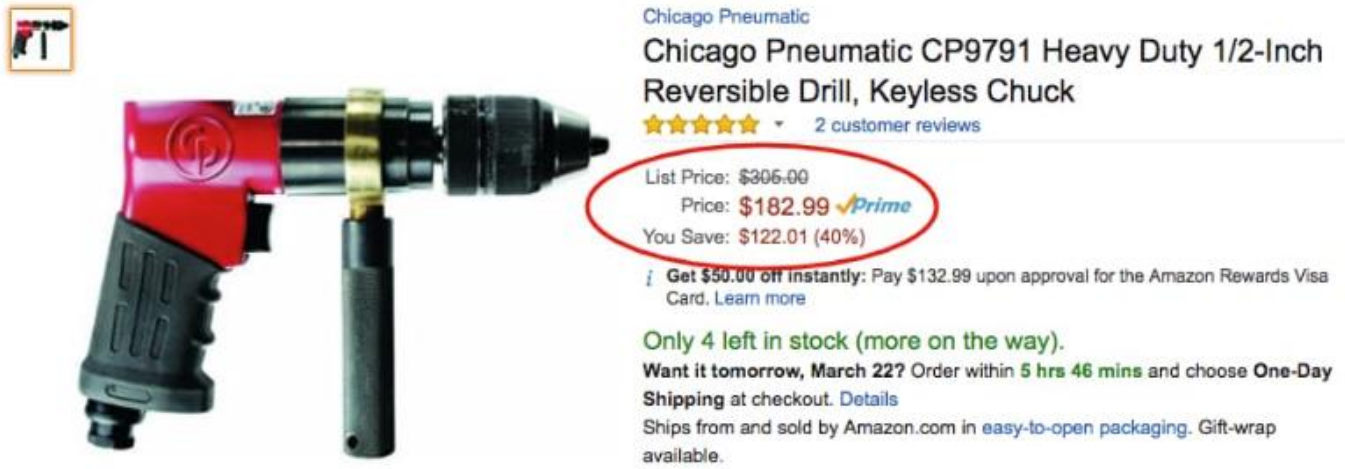


Image Source: Truthinadvertising.org

Which Option Will You Select?

	BASIC	PROFESSIONAL	BUSINESS	ENTERPRISE	PREMIER
	$24 monthly	$59 monthly	$99 monthly Most Popular	$249 monthly	$699 monthly
	Sign Up	Sign Up	Sign Up	Sign Up	Sign Up
Set up fee	waived	waived	waived	waived	waived
Transaction Fee	2.0%	1.0%	1.0%	0.5%	0%
Max SKUs	100	2,500	10,000	25,000	50,000
Storage	100 MB	500 MB	1000 MB	2.5 GB	5 GB
Bandwidth	unlimited	unlimited	unlimited	unlimited	unlimited
Custom Domains	✓	✓	✓	✓	✓
SSL Checkout	✓	✓	✓	✓	✓
SSL Admin		✓	✓	✓	✓
Discount Codes		✓	✓	✓	✓
Carrier Shipping			✓	✓	✓
Real-Time Stats			✓	✓	✓
Adwords credit	$ 25.00	$ 50.00	$ 50.00	$ 75.00	$ 75.00
All prices are USD	Sign Up	Sign Up	Sign Up	Sign Up	Sign Up

Image Source: AGConsult

Activity

- One product: 2 groups

- Products:
- **Apple Vision Pro**
- **Tesla Cybertruck**
- **Nintendo Switch 2**
- **Stanley Quencher**
- **Starbucks Pumpkin Spice Latte**



Questions for Each Group

- **PLC stage characteristics** – why is their product in this stage?
- **Pricing strategy** – which is most appropriate
- **Product Portfolio Fit** – how does this product fit into the brand's portfolio width/depth/length? Any cannibalization risk?
- **Brand Management Decision** – should the company pursue line extension, brand extension, or multibrand strategy at this stage?
- **Innovation/Trend Check** – is this product a **trend or fad**? What signals suggest longevity or decline?



Thank You!